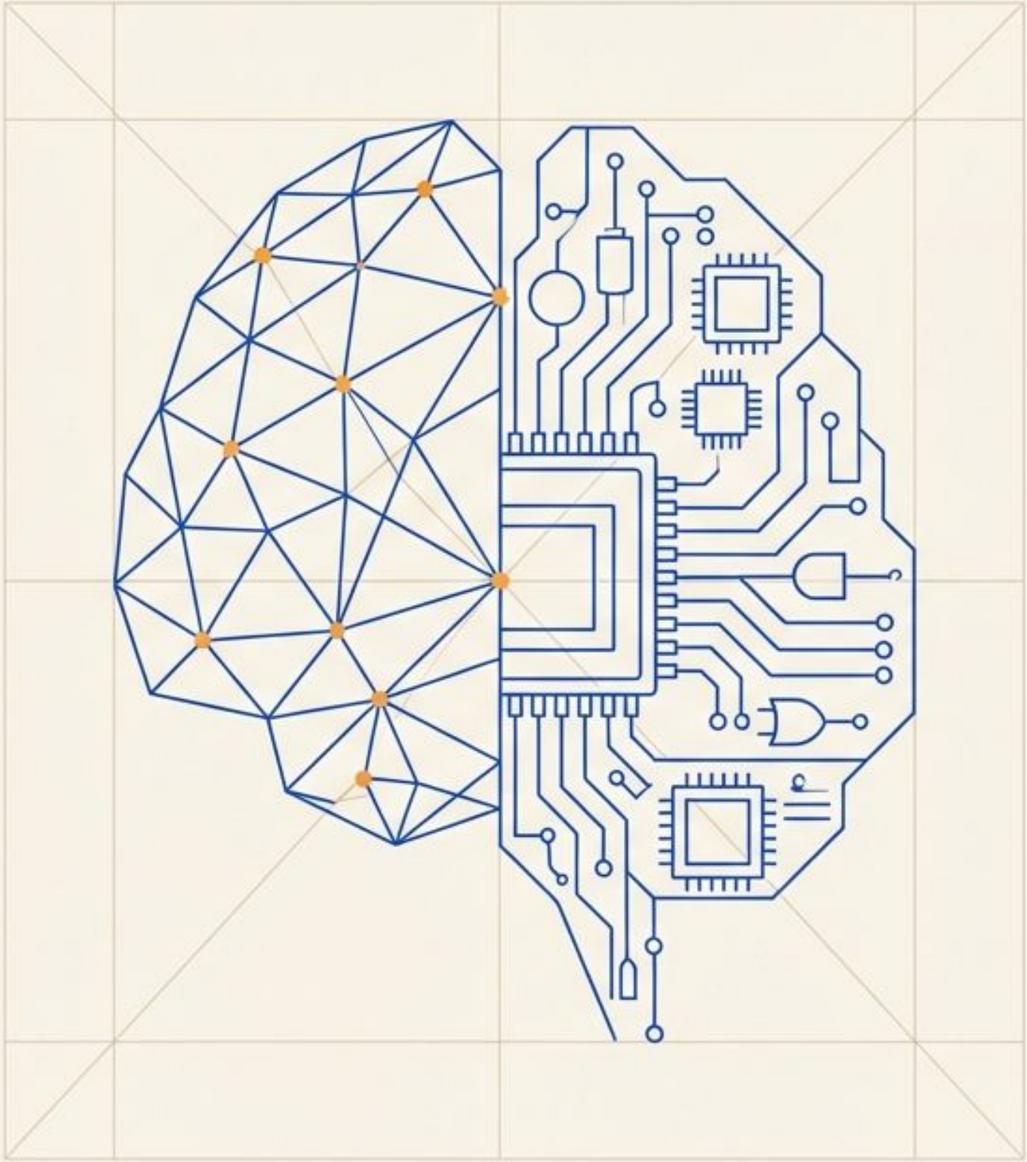


Unit 4: Intellectual Property in the Digital Age

- Protecting Creations of the Mind: The Core Pillars
- Deep Dive: Copyrights, Patents, and Trade Secrets
- Navigating Modern IP Issues in Tech & Multimedia
- The Nepalese Legal Landscape & Future Reforms

Prepared By : Er. Sharat Maharjan

WHAT IS INTELLECTUAL PROPERTY (IP)?

Definition: Non-tangible, non-rivalrous creations of the mind (inventions, art, symbols).

CORE BENEFITS OF INTELLECTUAL PROPERTY FRAMEWORKS

INCENTIVE FOR INNOVATION

Monetization rights encourage **public-benefit creation.**

COMBATS FREE-RIDERS

Prevents **unauthorized copying**, **securing ROI** for creators.

ECONOMIC GROWTH

Fosters a **protected ecosystem** for **startups and industries.**

NEPAL'S IP FRAMEWORK: CURRENT & FUTURE

Current Law

Patent, Design, and Trademark Act (1965) & Copyright Act (2002)

Global Pacts

Signatory to Paris Convention (1883) & WTO TRIPS (1995)

Key Limitation

Key Limitation

Not a member of the Patent Cooperation Treaty (PCT)

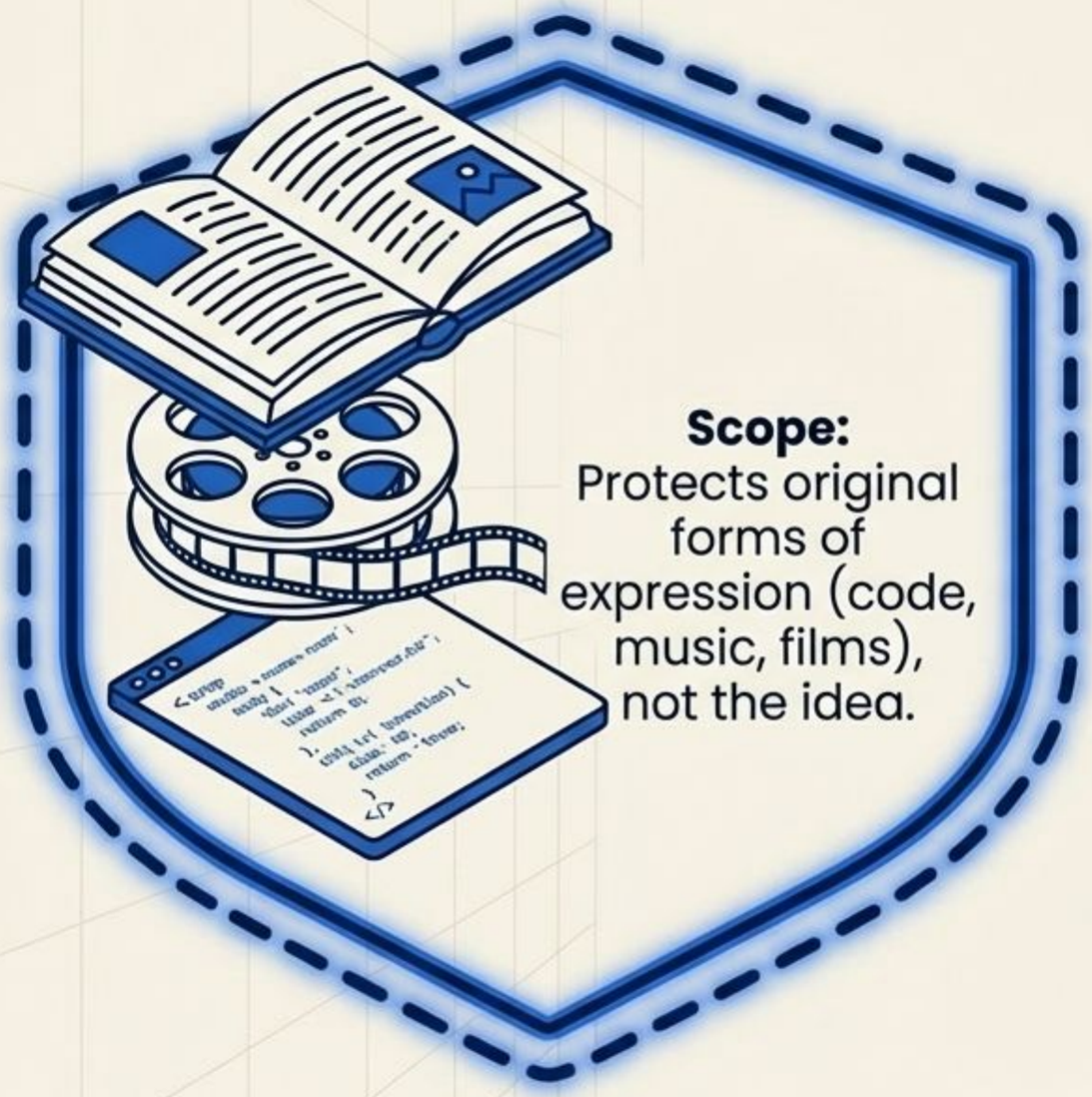
2024 Copyright Bill

Proposes IP Police to combat digital piracy & counterfeits

2025 Industrial Property Bill

Introduces Trade Secrets & Geographical Indications

COPYRIGHT: SHIELDING CREATIVE EXPRESSION



Scope: Protects original forms of expression (code, music, films), not the idea.

CORE RIGHTS

Reproduce, distribute, create derivatives, publicly perform.

ADVANTAGE

Automatic protection upon creation; grants economic/moral rights.

CHALLENGE

Digital piracy is highly difficult to enforce.

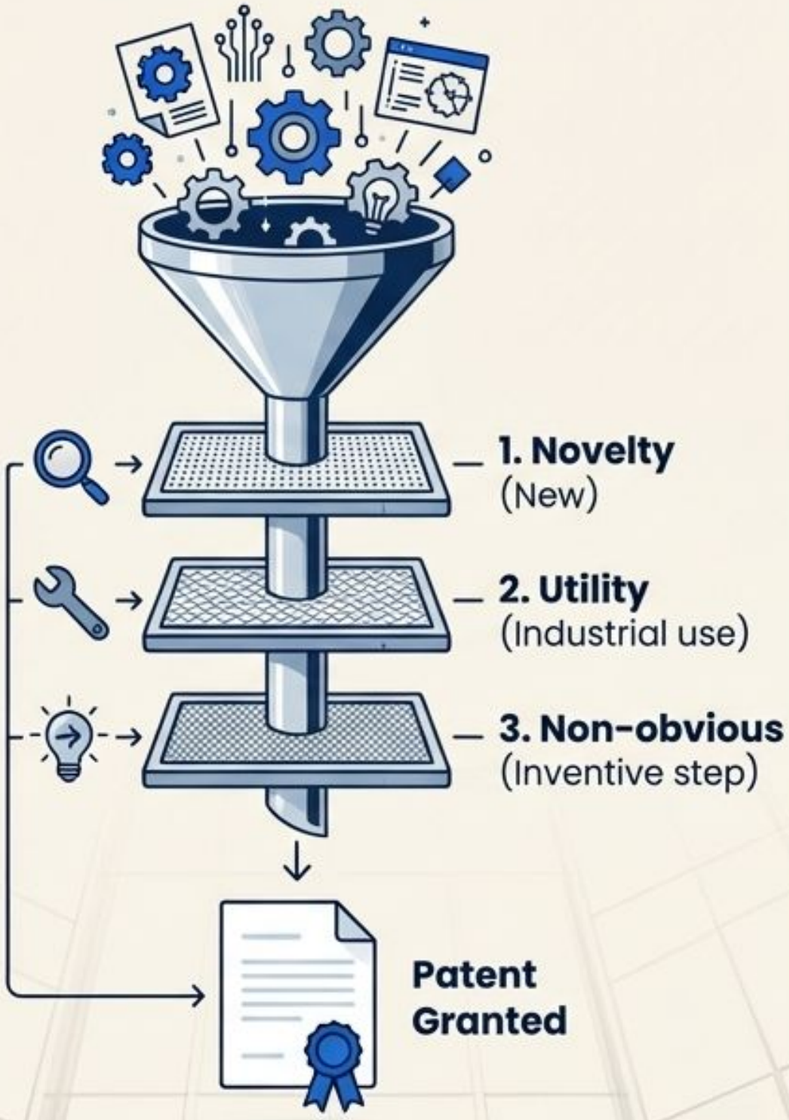
NEPAL CONTEXT & EXAMPLE

Registration is optional but acts as prima facie court evidence.
Example: A streaming app cannot use a Nepali artist's song without royalties.

PATENTS: SECURING TECHNICAL SOLUTIONS

Scope:
Exclusive monopoly over a new product or technical process.

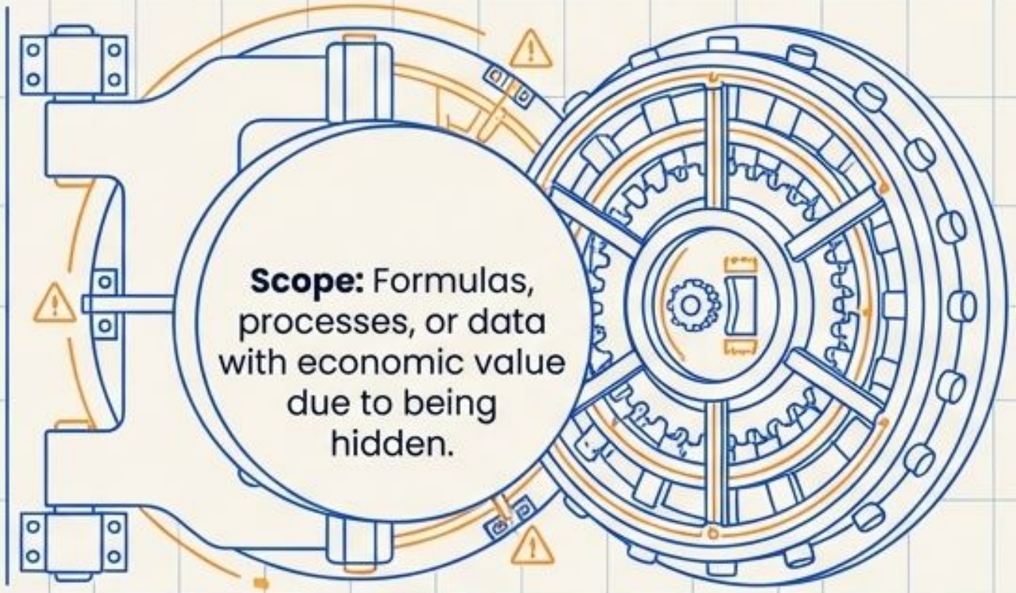
Trade-off
Grants exclusivity and licensing revenue, BUT requires full public disclosure.



Only
89
Patents
Registered in Nepal as of 2025

Duration: 7 years, renewable twice (Max 21 years total via DOI).

TRADE SECRETS: THE POWER OF SECRECY



ADVANTAGE	VULNERABILITY
No registration fees; protects non-patentable data; can last forever.	Protection is lost entirely if legally reverse-engineered or leaked.

Nepal Context: Unprotected in 1965 Act; Chapter 8 of 2025 Bill introduces legal backing.
Example: The exact recipe and process for Bhaktapur's Juju Dhau (King Yogurt).

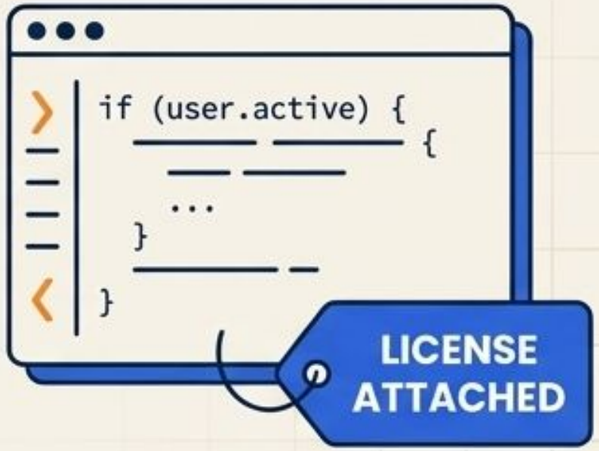
DIAGNOSTIC MATRIX: CORE IP COMPARISON

IP TYPE	SUBJECT MATTER	REGISTRATION & DURATION	KEY TRADE-OFF
© **Copyright**	Media, Art, Code	Automatic | Life of Author +	**Pros:** Free & Automatic **Cons:** Digital piracy risk
Patent	Inventions, Processes	DOI Registration | Up to 21 Yrs	**Pros:** Legal Monopoly **Cons:** Public disclosure
Trade Secret	Formulas, Data	No Registration | Indefinite	**Pros:** No expiry date **Cons:** Lost if discovered
TM **Trademark**	Brands, Logos	DOI Registration | 7 Yrs (Renewable)	**Pros:** Brand identity **Cons:** Must actively defend

IP Issues: Plagiarism & Open Source

Academic Integrity: Plagiarism

Software Integrity: Open Source (OSS)



Academic Integrity: Plagiarism

Presenting another's work/ideas as your own (**ethical violation, academic fraud**).

Prevention:
Detection tools, proper citations, and ethical culture.

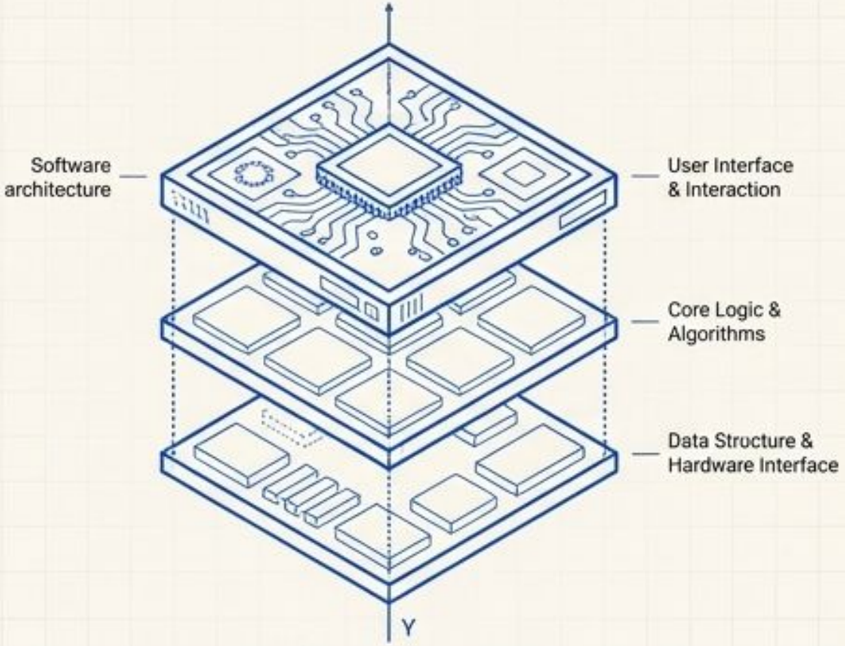
Software Integrity: Open Source (OSS)

Code available to modify, but bound by strict licenses.

The Trap:
OSS is **NOT public domain**. Requires compliance (GPL, MIT, Apache).
Violation Example: Using GPL code in a commercial app without releasing source code.

Reverse Engineering: Legal Boundary Lines

Definition: Deconstructing software or hardware to understand its mechanics.



Legal Application

Used for interoperability, security research, or learning (Clean Room design).

Example: Decompiling software to read a file format, then writing entirely new code.

Illegal Application

Violating End User License Agreements (EULAs) or direct code copying.

Infringement Risk: Crossing from understanding functionality directly into copying patented tech.

Gathering Data: Intelligence vs. Espionage

Competitive Intelligence (CI)

Legal, ethical gathering of market data from public sources.

Sources: Annual reports, press releases, public websites, customer interviews.

Example: Analyzing rival job posts to deduce they are building an AI tool.

Industrial Espionage

Illegal acquisition of competitor trade secrets.

Tactics: Hacking, bribery, physical theft, unauthorized server entry.

Example: Paying a rival's employee to steal their proprietary AI algorithm.

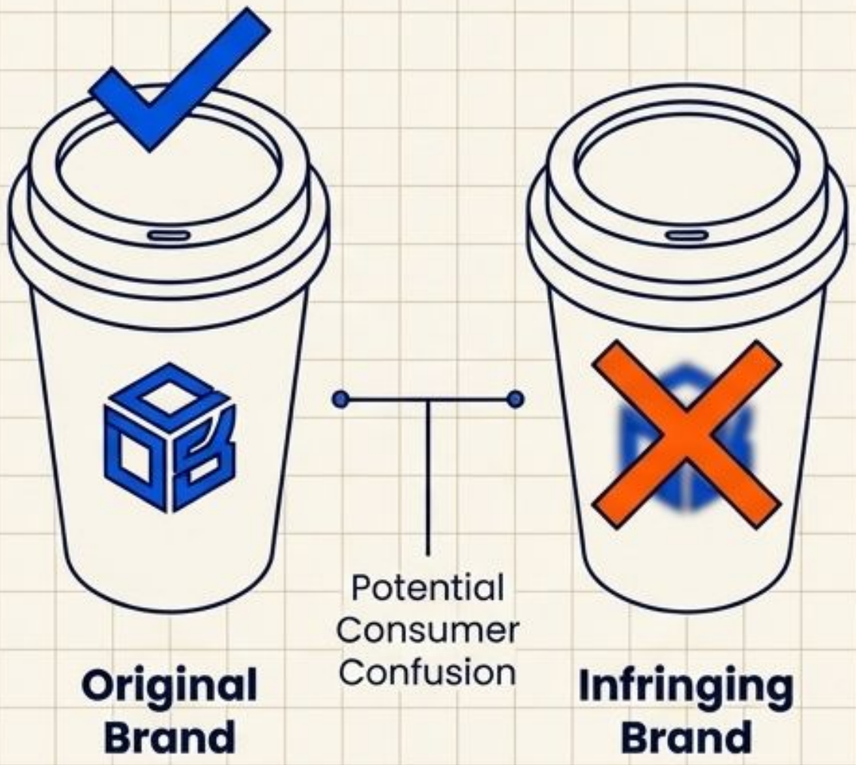
Defending Brand Identity: Trademarks

Trademark:
A word, symbol, or picture distinguishing a brand's goods/services.

Infringement Core:
Unauthorized use causing consumer confusion or deception.

Example: Opening a local cafe named Starbucks Coffee and using a similar green mermaid logo.

Consumer Confusion



Procedure (DOI): NPR 1,000 app fee -> Examination -> NPR 5,000 registration.

Term: Valid for 7 years, renewable indefinitely.

Cybersquatting: Digital Domain Threats

Definition:
Registering a domain name in bad faith to profit from a trademark.

Extortion:
Registering a famous brand to sell it back at a ransom.

Typosquatting:
Misspelling popular URLs to hijack traffic or launch phishing.

Legal Remedies

1. Trademark Act (1965):
Handles trademark infringement.

2. Electronic Transaction Act (ETA, 2008):
Covers cybercrime/fraud.

3. ICANN UDRP:
Resolves disputes for generic domains (.com, .org).

The Multimedia Professional's IP Checklist

1. Create Original Work

Copyright applies automatically; maintain creation records.

2. Check Software Licenses

Ensure strict compliance with Open Source (GPL, MIT).

3. Protect Your Brand

Register trademarks via DOI early to prevent cybersquatting.

4. Maintain Secrecy

Lock down internal algorithms/data as Trade Secrets.

5. Innovate Ethically

Utilize Competitive Intelligence; avoid Espionage & Plagiarism.

6. Stay Updated

Monitor Nepal's transition to the 2024 & 2025 IP Reform Bills.